

CO-OPERATIVE BANK OF KENYA LTD

Q1 2016 GROUP FINANCIAL RESULTS

INVESTOR BRIEFING



CO-OPERATIVE BANK

We are you

www.co-opbank.co.ke



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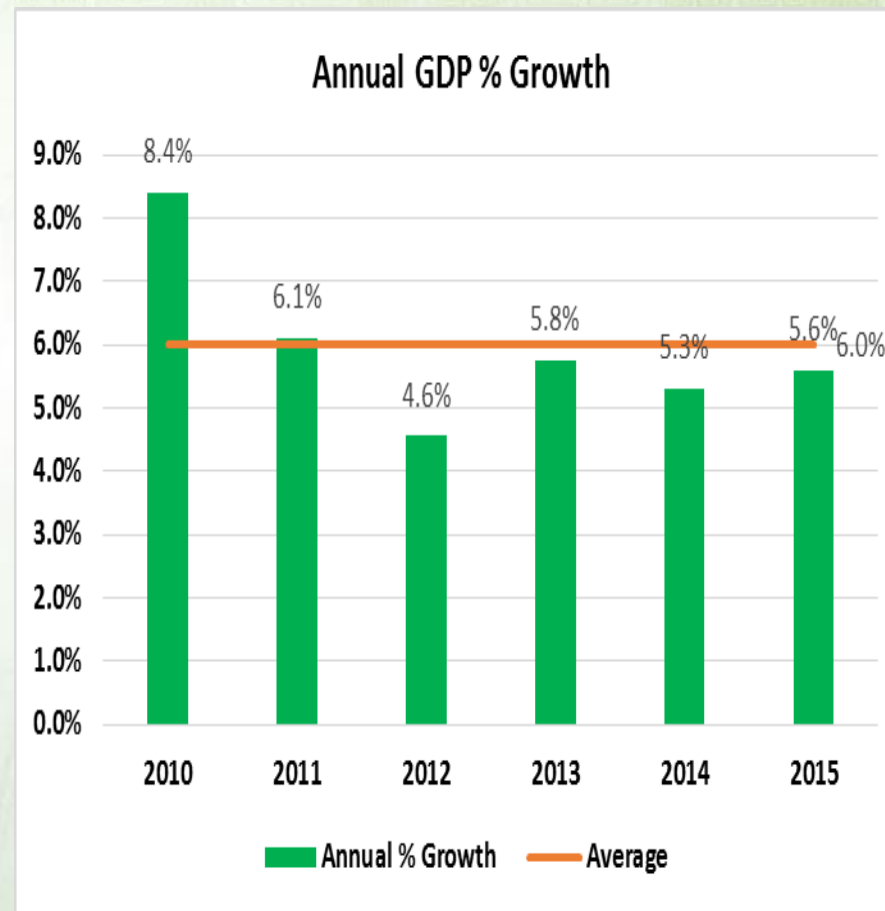
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Macroeconomic Environment

❖ Economic Growth

- Kenya's GDP grew by 5.6% in 2015 to USD 61.6 Billion up from USD 53.45 Billion in 2014.
- Growth was supported mainly by improved macroeconomic environment, growth in agriculture, energy and transport sectors.
- Slow growth in manufacturing, contraction in tourism and deceleration in mining, information and communication and trade lowered the GDP growth compared to earlier projections.
- In 2016, we expect government spending, agriculture and consumption spending to drive growth.





❖ Inflation

- Overall inflation rate was stable averaging 6.45% in 1Q2016. The rate for April 2016 was down to 5.27%.
- The fall in overall inflation rate is a result of falling food cost and stable oil prices.
- No major inflationary shocks are expected in 2016.

❖ Exchange Rate

- The KES has been stable against the USD. It has made slight gain from a rate of 102.30 at start of 2016 to 100.57 in early May.
- Low volatility is anticipated in the remainder of the year on account of;
 - Stable import bill and rising export earnings from horticulture, tea and coffee.
 - Low global fuel prices
 - Increasing official FX reserves up to 5 months of import cover in early May from 4.5 months at the beginning of 2016.

❖ Liquidity & Interest Rates

- The money market has been stable & liquid since January 2016 to-date.
- Inter-bank rate has been stable and is currently at 3.9%. Interest rate on government paper is also stable at 8.3% - 11.7% for tenor between 91-days to 1 year.
- Both lending and deposit interest rates are projected to remain stable for the remainder of 2016.



Key Strategic Pillars



Co-operatives Banking

- Large Saccos
- Housing Saccos
- Agri Business
- PSV/ Transport Saccos
- Investment Saccos



Retail Banking

- Micro Credit
- Small Medium Enterprises (SME)
- Personal Banking (mass & affluent)
- Diaspora Banking
- Banking the youth (Yea & Jumbo Junior)
- Asset Finance



Corporate & Institutional Banking

- Corporate banking
- Government Banking
- Institutional Banking
- Structured, Trade & Commodity Finance
- NGO's
- Treasury



Subsidiaries:

- Co-op Consultancy (Advisory services) & Insurance Agency(Banc assurance)
- Co-op-Trust Investment services Ltd
- Kingdom Securities Ltd
- Co-op Bank Foundation



Regional Expansion

- Co-op Bank of South Sudan
- CIC Africa South Sudan(31% by Co-opBank South Sudan)



Associates:

- CIC Insurance (26% owned)
- CIC Insurance Regional expansion to South Sudan, Uganda and Malawi

Innovative Customer Delivery Platforms



E-Channels; Mcoop Cash(All Telco, all Product with 2.84 Million Customers),
Internet Banking(Corporate& Retail)

144 branches, Over 8700 Agency Banking

ATMs, over 570 , leading issuer of debit cards

13 M Member Coop Movement, 6 M & growing direct account holders

909,194 Sacco Link Customers & over 555 FOSAs

Subsidiaries businesses

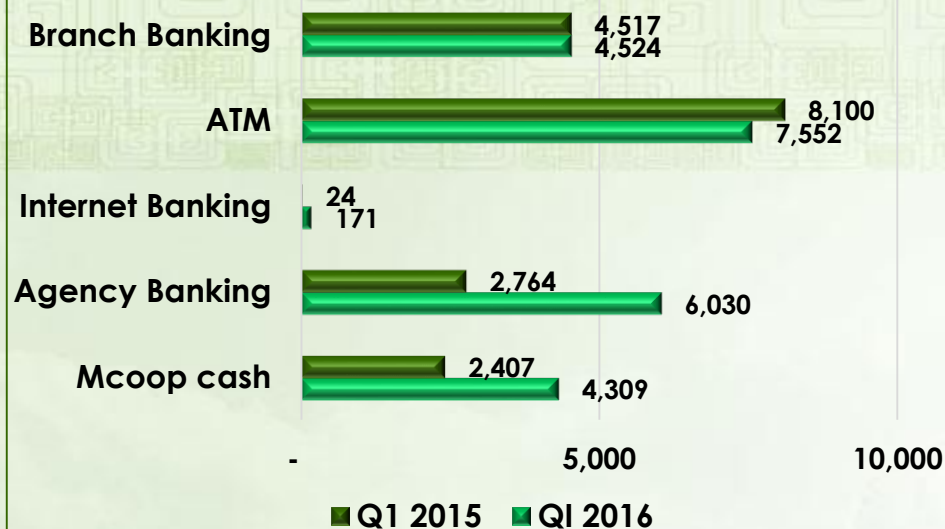


The Co-op Bank Group soars on!

- Transformation initiatives have led to significant growth of transactions through alternative channels.
- Comparison between Quarter 1 2015 and Quarter 1 2016 shows exponential growth in transactions
 - a) M Co-op cash Transactions + 79%
 - b) Internet Banking + 614%
 - c) External Tellers (Co-op Kwa Jirani) + 118%
 - d) Merchant acquiring transactions +15%
- Total in branch transactions (both transformed and non transformed branches) have declined in tandem with the Channel Migration
- 71% drop of teller queue time from baseline queue time of 30 minutes to 7 minutes
- 64% drop in service desk queue time from baseline of 22 minutes to average of 8 minutes
- The use of CRM as a tool of lead generation has enabled bankers to proactively generate new sales from leads.



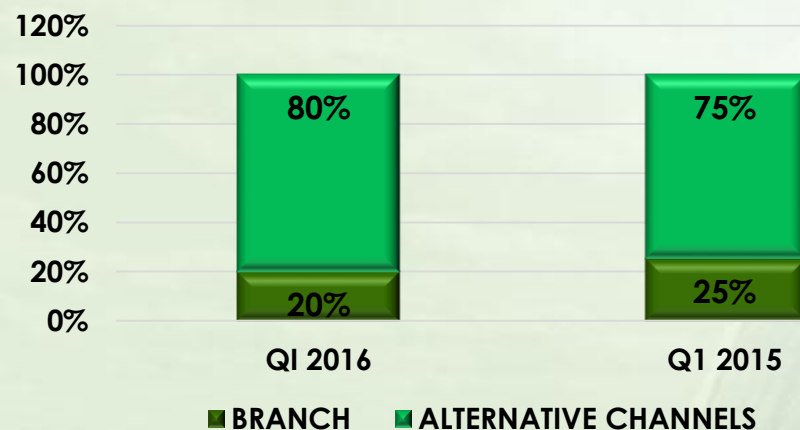
CHANNEL TRANSACTIONS IN '000'



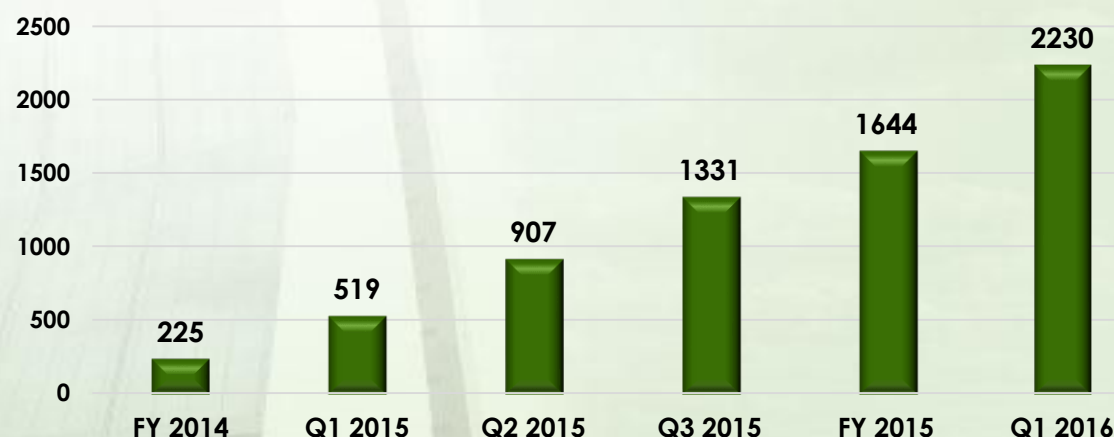
MCo-op Cash loan Book Numbers (In '000')



Branch Vs Alternative Channels



MCo-op Cash loan Book - In Millions





SFE initiatives have enabled us to maximize business (Wallet Share) by generating new opportunities from the Bank's existing clients. This is achieved by:

- a) Enhanced and well structured Collaboration between Relationship Managers, Product houses, Segments and Channel Owners.
- b) Comprehensively identifying opportunities through collaborative account planning and deal pipelining process.
- c) Converting the sales opportunities.



Key Highlights;

Support SFE through sharing of account plans by SharePoint for access to RMs, product houses, segments and to facilitative collaboration and comprehensive account planning process.

- Support Branch Transformation;
 - a) Branch Design and layout changes.
 - b) Installation of drop box and time stamp
 - c) Installation of internet kiosks.
 - d) Installation of the Queue management system(QMS)
- Various channel enhancements on M Co-op cash have been closed:
 - a) Real time hunting functionality to aid in arrears collection.
 - b) Enhancement on m-collections - Where institutions can now effectively use M Co-op in collection
 - c) Enhancement to enable institutions bulk payments.
 - d) Free M co-op cash to M Co-op cash transfers
 - e) Card-less withdrawal charges reduction from Kes.100 to Kes.30 per transaction
 - f) Enhancement on 3 month flexi: where customers can now comfortably borrow e-flexi payable in 3 months.
 - g) Enhanced integrations to enable Lipa na Mpesa payments (via pay bill /till numbers)

Supported by;

Modern & Robust BFUB Core Banking Software

Tier 3 data center with the latest IBM servers (7 series)

Specialized systems:
 >>Bancassurance systems
 >>Opics
 >>Trade Innovation
 >>Custodial

High level security certification

Drive sales growth with lead generation

Customer 360 view reflecting all product holdings

- Segment customers by business line
- Determine next best product to buy

Drive proactive credit management

Accurately pull accurate transaction data by customer

- Incorporate changes in customer's demographic data
- Incorporate past credit history

Enable frontline accountability with performance data

Produce P&L by business line at branch & aggregate level

- Isolate banker sales performance and progress over time
- Assess segment, product and customer profitability

Proactive Credit Management



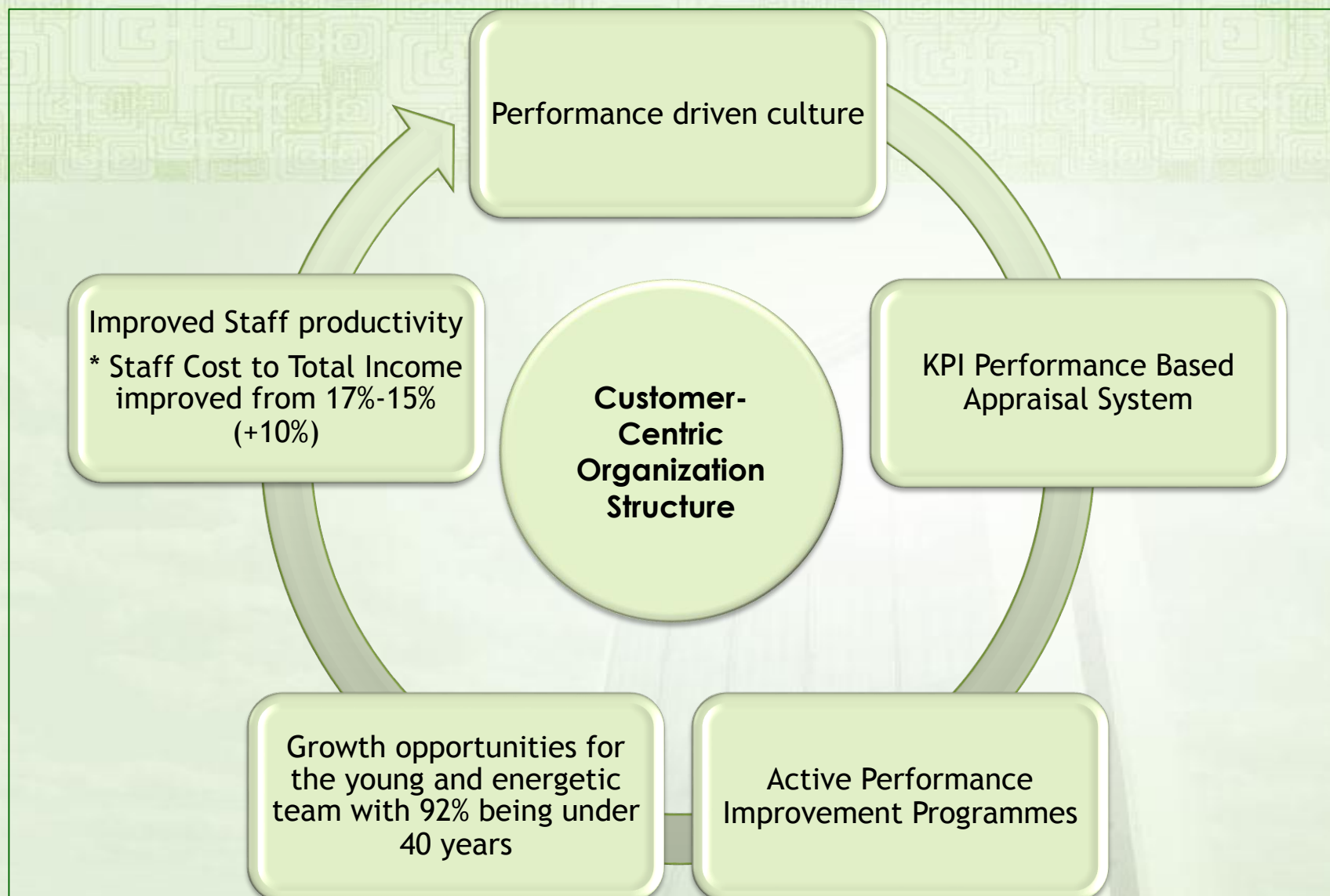
Enhanced frontline support and free up time

Collaboration and establishment of regular touch-points and provision of advisory services

Enhancing systems processes and tooling to support Credit Management

Proactive product curing

Aggressive collections and follow-up to ensure a quality book



Supported by
focused training
across teams



Co-operative
Bank
Leaders and
Management
Centre

Ω
OMEGA

**London
Business
School**

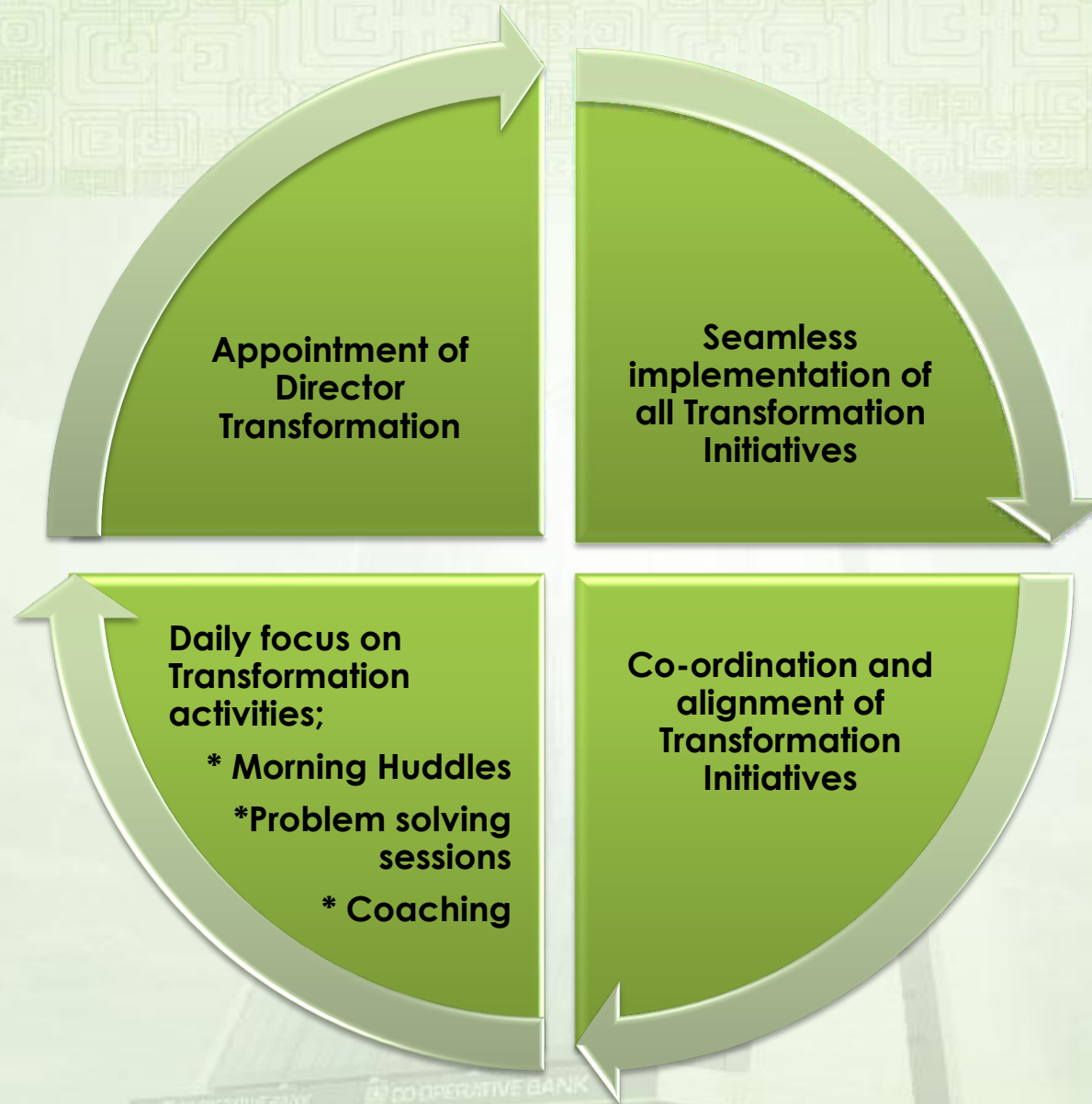
Improved Cost Efficiency

	Q1 - 2016	Q1 - 2015	FY - 2015
Cost to Income Ratio	45.0%	45.3%	53.2%

This is as a result of the following;

- ☐ Focus on electronic delivery channels thus reducing brick and mortar costs.
- ☐ Continuous review of our cost lines for optimization.
- ☐ Expenditure Management Committee (EMC)
- ☐ Reviewed sourcing processes and procedures, including frequent retenders with significant savings.
- ☐ Appointment of evaluation committee for all sourcing
- ☐ Market price comparison every 3 to 6 months
- ☐ Prequalification of suppliers every 6 months
- ☐ Renegotiated contracts with vendors especially systems.

Entrenched Transformation Function





Leveraged on strong balance sheet to secure single digit long-term debt of over US\$ 337.39 M from developmental partners as hereunder:

- ❖ IFC US\$ 60 million (Kshs.5.1 billion) in USD fully drawn to fund SME's and agribusiness
- ❖ IFC US\$105 (Kes10.7 Billion) > 7 year to finance SME's, construction and mortgage segments.
- ❖ EIB Euro 70 million (Kshs.8 billion) in Kshs (locked in Kshs at the exchange rate on disbursement) to fund SMEs
- ❖ IFAD, (Principal Loan of Kes 30 Million)-To finance the Eastern Province Horticultural and Traditional Food crops project
- ❖ AFD US\$ 36 million (Kshs.3.14 billion) in USD to fund energy efficient and renewable energy projects
- ❖ DEG US\$ 52.6 million (Kshs.4.68 billion) in USD to finance SME and Corporate customers

Key Benefits

- ✓ Senior debt has enhanced asset-liability match
- ✓ Mitigated our shilling exposure
- ✓ Diversified our asset portfolio
- ✓ Expanded our client base to export-led FX rich sectors
- ✓ Boosted our competitive position on account of affordable lending rates



The Award winning Brand!



2015 Financial Times of London Awards

- Global best bank in Financial Inclusion 2015



2015 Financial Times -World Top 1,000 Banks

- With good Tier 1 Capital strength

Ranked highly in Africa in terms of;
Return on Assets
Return on Capital



2015 World Finance Awards

- Best Commercial Bank in Kenya 2015

Global Financial Inclusion Award



Unique Strategy for Regional Expansion

South Sudan

- Unique partnership with Government of S. Sudan (Co-op Bank 51% and GOSS 49%); the unique model offers 'inclusive growth'
- Currently operating 4 branches in Juba and 4 Non-oil collection centers. Owns 31% of CIC Africa Ltd- South Sudan
- The unique joint venture offers great opportunity for long-term sustainability of the business.
- The subsidiary made a profit before tax of Kshs11.5 Million in Q12016 a turn around from the loss of Kshs 15.8 Million made in Q12015

Africa Market

- Exceptional model to be applied in our new frontiers i.e. Rwanda, Uganda, Ethiopia, DRC & Tanzania to be implemented over the next 5 years.

Key Financial Highlights

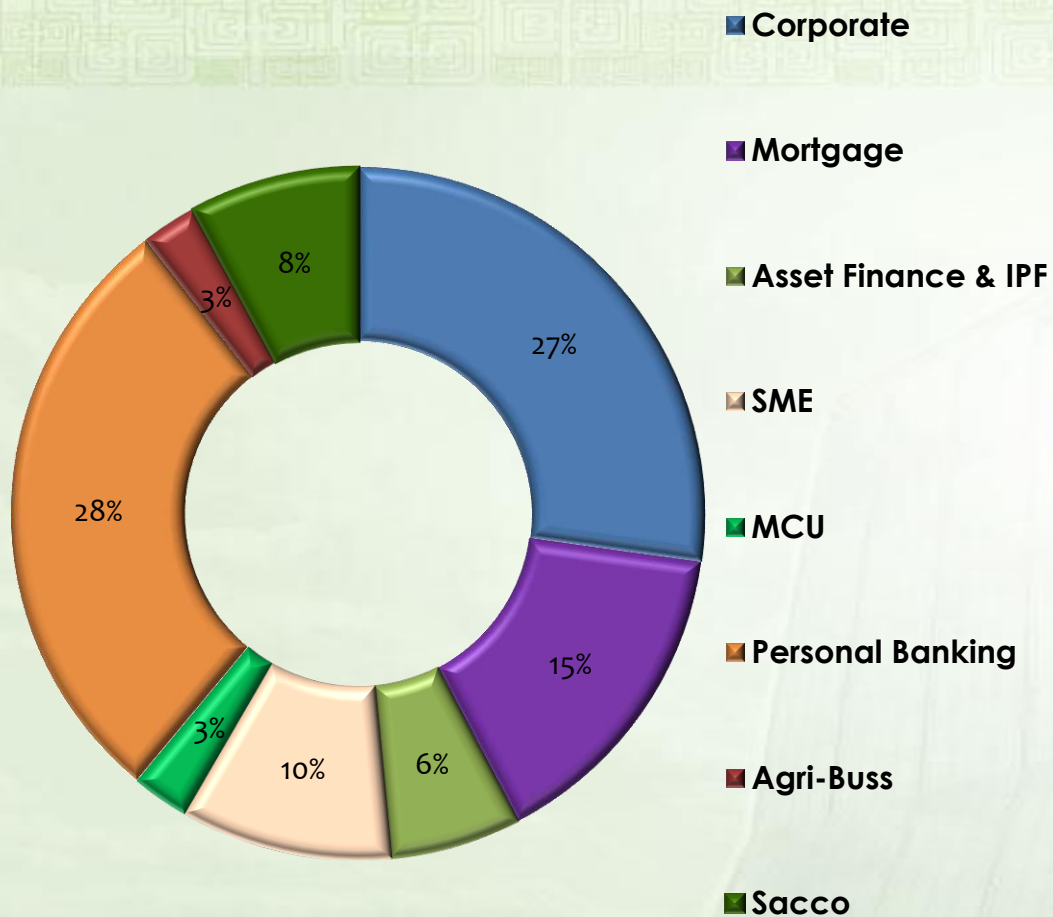
A Soaring Bank



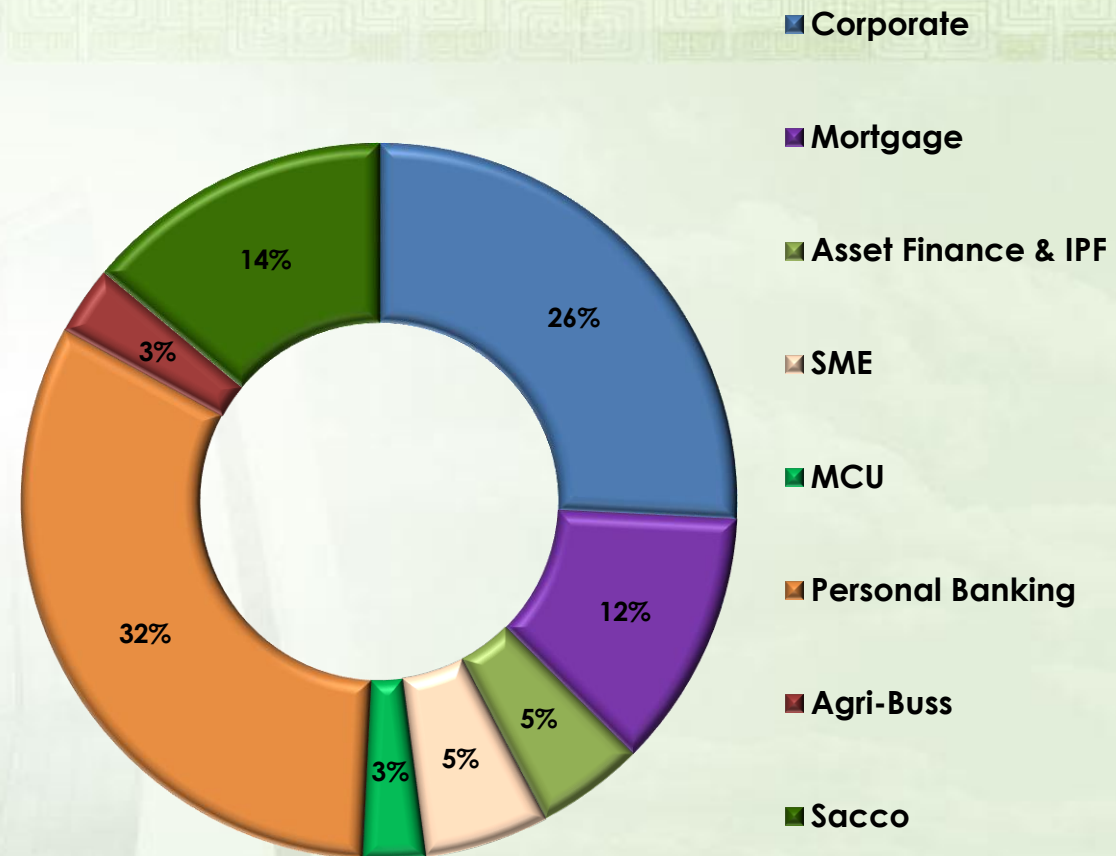
Ksh. Billions	Q1-2016	Q1-2015	% Change (YoY)		FY 2015
Total Assets	350.7	309.6	13.3%	↑	342.5
Loan book (Net)	213.7	184.1	16.1%	↑	208.6
Government Securities	69.1	44.9	53.9%	↑	60.1
Total Deposits	267.4	238.0	12.4%	↑	268.8
No. of account holders (Millions)	6	5.3	13.2%	↑	5.9
Shareholders Funds	55.3	47.2	17.3%	↑	50.2

A Soaring Bank - Loan Distribution

Q1-2016

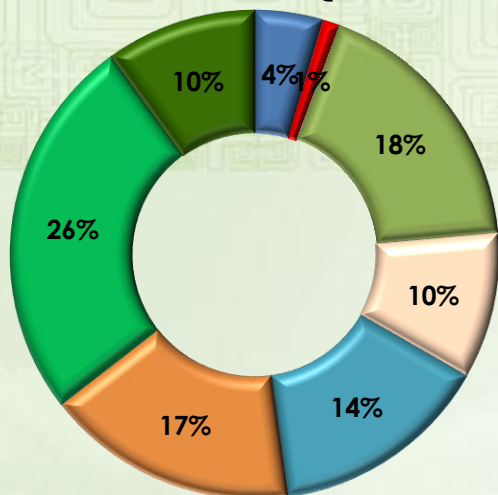


Q1-2015



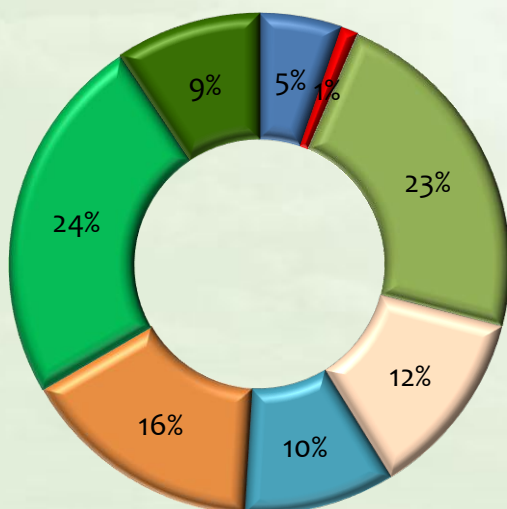


Deposits Distribution Q1-2016



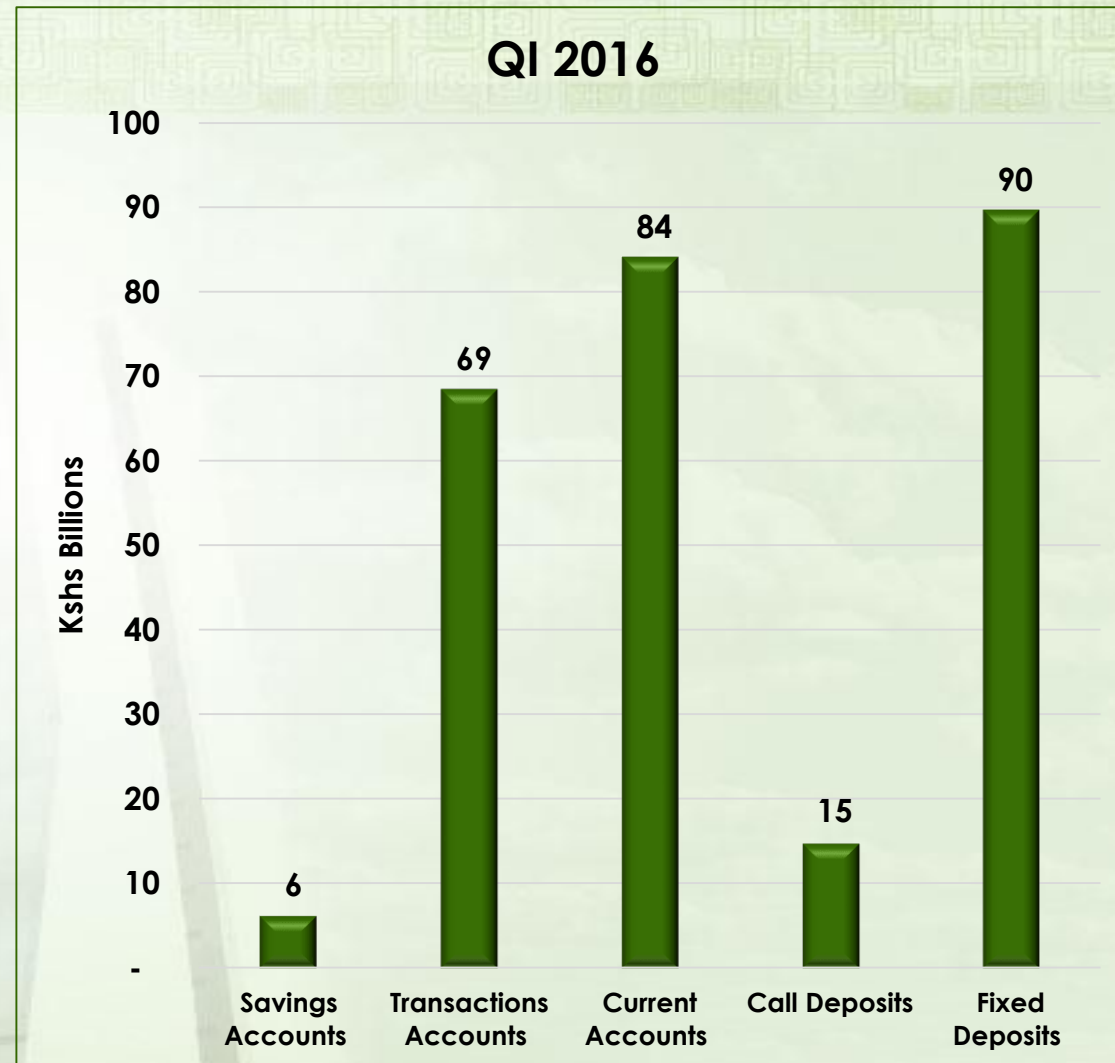
- Sacco
- Agri-Buss
- Retail
- MCU
- SME
- Government Banking
- Institucional Banking
- Corporate banking

Deposits Distribution Q1-2015



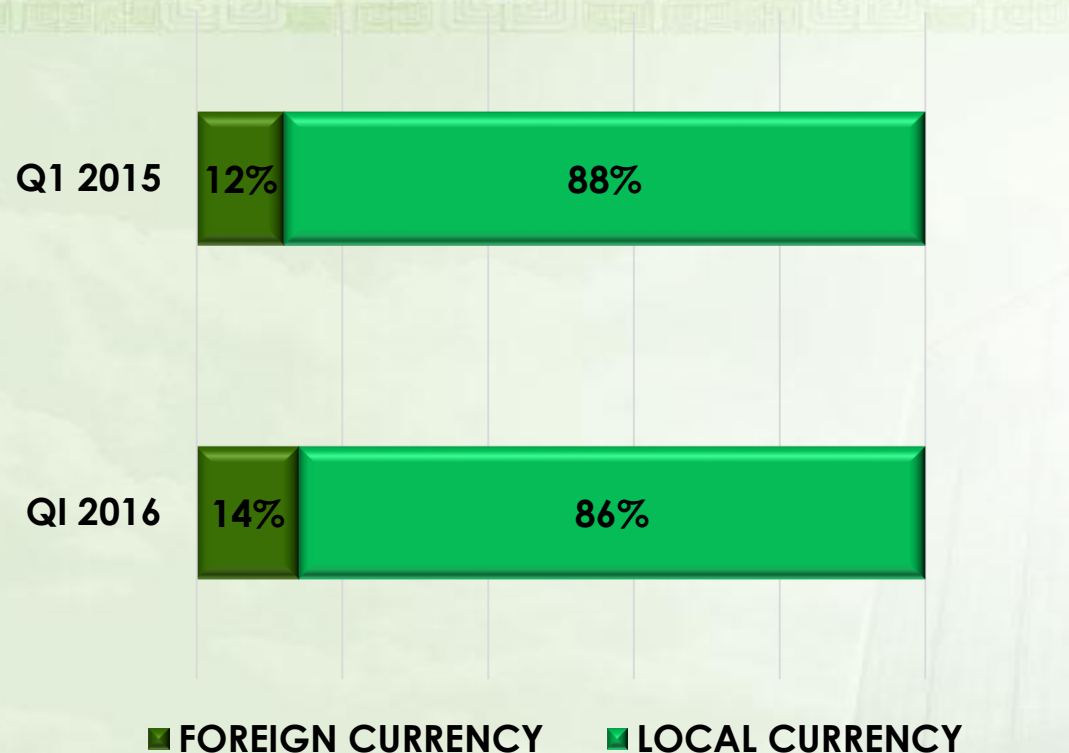
- Sacco
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Customer Deposits by account Types (In Billions) Q1-2016

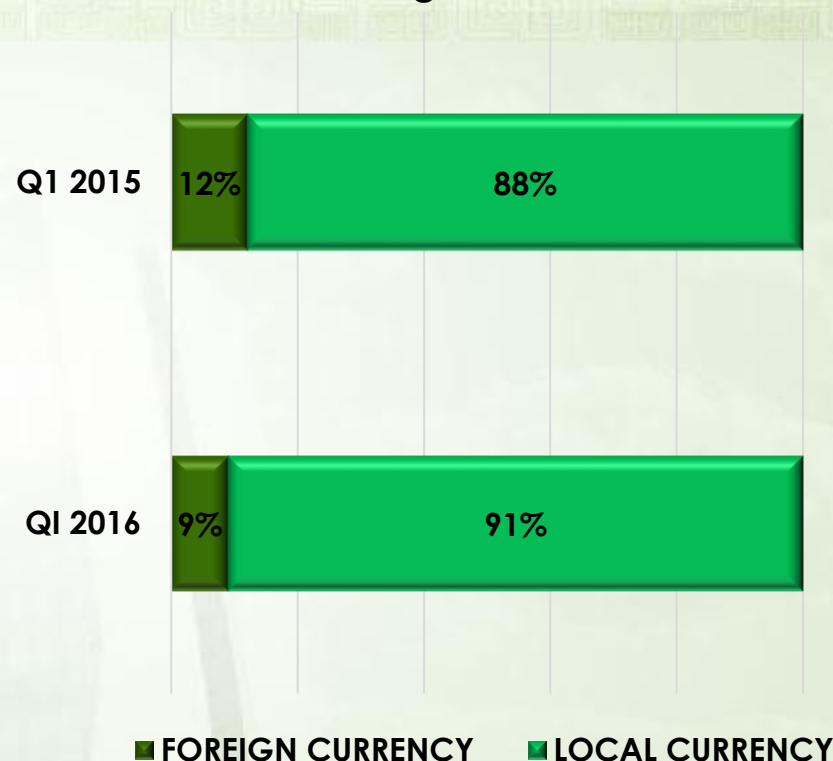




Loan Book (Local vs Foreign Currency)



Funding Local/ Forex



Portfolio Trends Ksh. Millions

	<u>Q1-2016</u>	<u>%</u>	<u>Q1-2015</u>	<u>%</u>	<u>FY - 2015</u>	
Normal	192,737.83	88.2%	168,567	89.8%	192,513	87.5%
Watch	17,279.06	7.9%	11,443	6.1%	19,352	8.8%
Substandard	4,197.29	1.9%	3,245	1.7%	3,305	1.5%
Doubtful	3,738.36	1.7%	3,780	2.0%	4,188	1.9%
Loss	645.94	0.3%	719	0.4%	696	0.3%
TOTAL	218,598.48	100	187,754	100%	220,055	100%

Core Capital / Total Deposits (10.5%)

Core Capital / Total Risk weighted Assets (10.5%)

Total Capital / Total Risk Weighted Asset (14.5%)

Coverage (Loan loss prov+int in sus /Gross NPL) -IFRS

Coverage(Loss loan+int in sus+gen prov)/Gross NPL- CBK

Liquidity (20%)

NPL / Total Loans

Loans to Deposits

Q1 2016

Q1 - 2015

FY 2015

17.5%

16.5%

17.5%

15.4%

14.0%

15.7%

21.7%

20.9%

22.4%

42.5%

33%

56.6%

77.0%

59%

87.5%

39.0%

39.7%

37.1%

3.4%

3.9%

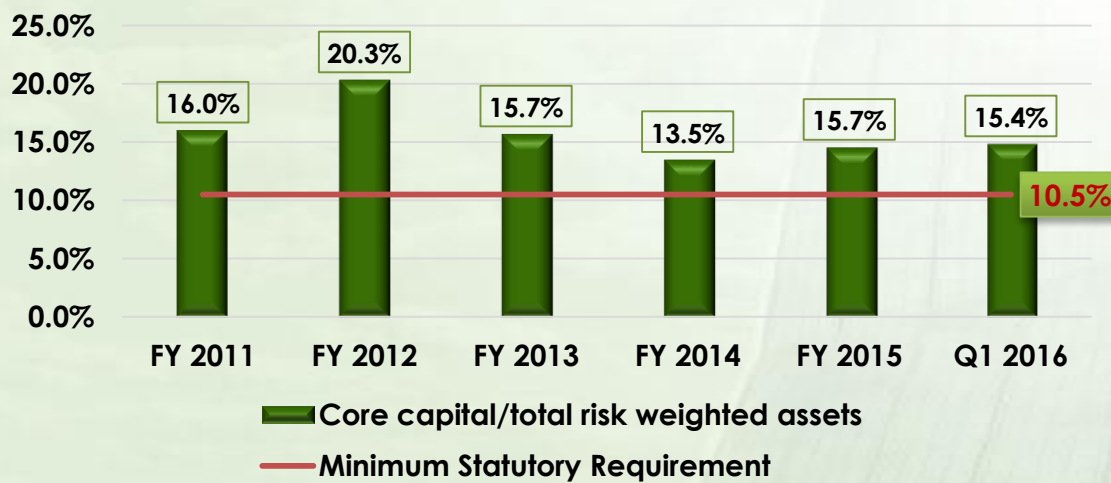
3.4%

79.9%

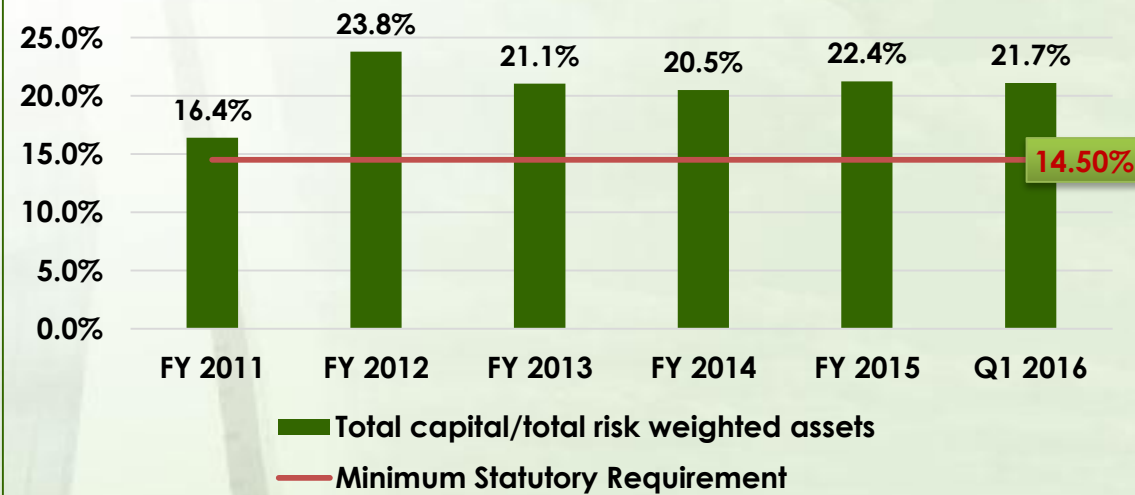
78%

77.6%

Core capital/total risk weighted assets



Total capital/total risk weighted assets



Strong Profitability Growth

Kshs. Billions (except for EPS)	Q1 - 2016	Q1 - 2015	% Change (Y/Y)		FY 2015 (audited)
Interest Income	10.7	8.17	31%	↑	36.8
Interest Expense	3.9	2.3	67%	↑	13.6
Net Interest Income	6.8	5.8	16%	↑	23.2
Fees & Commissions	2.4	2.3	6%	↑	9.5
Forex Income	0.5	0.45	10%	↑	3.2
Total Income	10.3	8.7	18%	↑	36.4
Loan Loss Provision	0.63	0.35	79%	↑	2
Staff Costs	2.2	1.9	16%	↑	9.1
Total Operating Expenses	5.2	4.3	22%	↑	21.4
Profit Before Tax	4.9	4.5	10%	↑	15.4
Profit After Tax	3.4	3.2	8%	↑	11.7
Basic EPS	0.70	0.65	8%	↑	2.3

	Q1 - 2016	Q1 - 2015	FY - 2015
Cost to Income(Excluding Provisions)	45.0%	45.3%	53.2%
Cost to Income (Including Provisions)	51.0%	49.4%	58.8%
Cost of funds	5.7%	4.03%	5.2%
Staff Cost to Total Income	21.3%	21.7%	24.5%
Debt to Equity	35.8	38.9%	38.4%
Average Return on Equity	26.8%	29%	25%
Average Return on assets	4.2%	4.6%	3.7%
FX to Non Funded income	14.4%	15.8%	24.2%
Non - Funded to Total Income	33.8%	32.9%	36.2%
Net Interest Margin	11%	10.3%	11.7%
Effective Corporate Tax Rate	30.0%	30.0%	30.0%

- Cost to Income : The ratio is improving in line with the ongoing transformation strategy
- NIM : Stable and in line with the bank's projections

2015 Financial Outlook

	<u>Actual</u> <u>Q1-2016</u>	<u>Projections</u> <u>FY 2016</u>
Profit Before Tax Growth	9.7%	20%
Loans & Advances Growth	16.1%	19%
Deposits Growth	12.4%	20%
Cost to Income Ratio	45%	50%
Non Funded to Total Income	33.8%	36%
ROAE	26.8%	28%
ROAA	4.2%	4.5%
NPL	3.4%	4.15%
Cost of funds	5.7%	4.5%
Net interest margin (NIM)	11%	10.5%
Cost of risk	1.3%	1%

Conclusion

- ✚ We are pleased with the strong balance sheet and P&L growth of 13.3% and 10% respectively, with Q1 - 2016 Profit Before Tax of Kshs 4.94B compared to Kshs 4.5B in 2015.
- ✚ With the increased momentum in the “Soaring Eagle Transformation Agenda”, revamped ICT infrastructure, profitable operations in South Sudan, and other new frontiers, the group will continue scaling new heights.
- ✚ We look to the future with great excitement and optimism! Thank you for your continued partnership and we invite you to invest more in the great future.

THANK YOU



CO-OPERATIVE BANK
We are you